STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.	Case 19-G-0309
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service.	Case 19-G-0310

DIRECT TESTIMONY

OF

GREGG C. COLLAR

Dated: August 30, 2019
Albany, New York

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I. INTRODUCTION AND OVERVIEW OF TESTIMONY

Q. Please state your name, title and business address.

A. My name is Gregg C. Collar. I am a Utility Program Analyst with the Utility Intervention Unit (UIU) of the New York State Department of State's Division of Consumer Protection. My business address is 99 Washington Avenue, Suite 640, Albany, New York 12231-0001.

Q. Please briefly summarize your qualifications and employment background.

A. I received a Bachelor of Arts in Mathematics from Hartwick College in 1995. Since March 2005, I have been employed as a Utility Program Analyst, initially with the New York State Consumer Protection Board, and, beginning in April 2011, with the New York State Department of State's UIU. In this position, I am primarily responsible for analyzing utility low-income and service quality performance measurement programs currently in place and identifying reforms that would enhance their reach and effectiveness. I research and draft formal documents advocating UIU's position in Public Service Commission (PSC or Commission) proceedings and represent UIU in collaborative proceedings and other meetings advocating for low-income programs, service quality performance issues and other matters of interest to UIU. I serve as UIU's representative to the Low-Income Forum on Energy and the Natural Gas Reliability Advisory

Group, and UIU's representative and Vice-Chairperson on the Board of Directors of the telecommunications Targeted Accessibility Fund, which oversees public benefit programs including Lifeline and E911.

I participated as UIU's representative in Case 01-M-0075, which examined Niagara Mohawk Power Corporation's (Niagara Mohawk or Company) low-income assistance program, as well as in a collaborative in Cases 05-E-0934 and 05-G-0935 that addressed Central Hudson Gas & Electric Corporation's (Central Hudson) low-income program. I also conducted research and drafted documents pertinent to UIU's participation in the investigation of the July 2006 electric power outage of Consolidated Edison of New York Inc.'s (Con Edison) Long Island City Electric Network, Case 06-E-0894, and the investigation of the prudence of Con Edison regarding the July 2007 steam pipe rupture in Case 08-S-0153. In Case 07-M-0548, the proceeding regarding the Energy Efficiency Portfolio Standard (EEPS), I served as the UIU representative in the working group related to the establishment of natural gas efficiency goals and the working group assigned to help customers overcome barriers to energy efficiency with the potential use of an on-bill financing program. I also served as the UIU participant in the EEPS Evaluation Advisory Group. Additionally, I have been involved in the Reforming the Energy Vision (REV) proceeding, Case 14-M-0101, and in Case 14-M-0565, the

proceeding addressing affordability for low income customers (Affordability Proceeding). Recently, I was a member of the Low and Moderate Income (LMI) Clean Energy Initiatives Working Group established by the Clean Energy Advisory Council that was tasked with investigating and evaluating alternatives to the current delivery of rate payer-funded clean energy services to LMI customers to improve value for the customers served. I also represented UIU in the LMI Working Group in Phase Two of the Value of Distributed Energy Resources (DER) proceeding.

Q. Mr. Collar, have you previously testified and/or been involved in negotiations in PSC proceedings?

A. Yes, I have submitted testimony in many rate proceedings involving Con Edison, Cases 08-E-0539, 09-G-0795, 09-E-0428, 13-E-0030/13-G-0031 and 16-E-0060 and 16-G-0061; Orange and Rockland Utilities, Inc. (Orange & Rockland), Cases 08-G-1398, 10-E-0362, 11-E-0408 and 14-E-0493/14-G-0494; Central Hudson, Cases 09-E-0588/09-G-0589, 12-M-0192 and 14-E-0318/14-G-0319; New York State Electric and Gas Corporation (NYSEG) and Rochester Gas and Electric Corporation (RG&E), Cases 09-E-0715 *et. al* and 15-E-0283 *et. al*; Corning Natural Gas Corporation (Corning), Case 11-G-0280; Niagara Mohawk, Cases 10-E-0050, 12-E-0201/12-G-0202 and 17-E-0238/17-G-0239; KeySpan Gas

East Corporation dba National Grid (KEDLI) and The Brooklyn Union Gas Company dba National Grid NY (KEDNY) (collectively, the Companies), Cases 16-G-0058 and 16-G-0059; and in the rate proceedings of the National Fuel Gas Distribution Corporation (National Fuel), Case 16-G-0257. Additionally, while I did not submit testimony, I represented and advocated the UIU's positions in the applicable rate plan or rate plan extension proceedings for KEDNY in Case 12-G-0544, Corning in Case 11-G-0280, and National Fuel in Case 13-G-0136. In addition to these electric and gas rate case proceedings, I also submitted direct and rebuttal testimony in Case 09-M-0527, a proceeding that established a State Universal Service Fund, which is intended to ensure local telephone service remains universally available throughout New York State.

II. SUMMARY OF RECOMMENDATIONS

Q. What is the scope of your testimony?

A. I will primarily comment on the Companies' proposed (1) customer service quality performance measures, (2) termination and uncollectible incentive mechanism, and (3) Affordability metric which is part of their Energy Efficiency (EE) Earnings Adjustment Mechanism (EAM) proposal. The absence of discussion of other topics in this testimony should not be construed as support for, or opposition to, the Companies' positions.

Q. Please summarize your recommendations.

A. I discuss the following recommendations in my testimony:

1) I propose changes to certain customer service performance measures. Specifically, I propose a more stringent target for KEDNY's PSC Complaint Rate, Residential Transaction Satisfaction Index and Adjusted Customer Bills metrics. Additionally, I also recommend more stringent targets for KEDLI's Telephone Answer Rate and Adjusted Customer Bills metrics.

2) I propose more stringent targets for KEDNY and KEDLI's termination and uncollectible incentive performance mechanism.

3) I oppose the Companies' proposal for an Affordability metric as part of its EE EAM proposal.

Q. Are you sponsoring any exhibits associated with your testimony?

A. Yes, I am sponsoring three exhibits. Exhibit __ (GCC-1) consists of the Companies' responses to Information Requests (IRs) that I relied upon in preparing this testimony. Exhibit __ (GCC-2) depicts my recommendations regarding KEDNY and KEDLI's customer service performance targets. Exhibit __ (GCC-3) details my recommendations for each company's termination and uncollectible incentive performance mechanism.

III. CUSTOMER SERVICE PERFORMANCE MEASURES

Q. What customer service performance measures are included in the Companies' service quality programs?

A. Currently, KEDNY and KEDLI both have the following customer service performance measures: (1) annual Commission complaint rate per 100,000 customers (PSC Complaint Rate); (2) Residential Customer Transaction Satisfaction Index; (3) percentage of customer calls answered in 30 seconds (Telephone Answer Rate); and (4) Adjusted Customer Bills. (Direct Testimony of Shared Services Panel p. 52). In their Rate Plans, the Companies are assigned a customer service quality performance target for each metric, and if a Company fails to meet the performance target(s), then it will incur a negative revenue adjustment(s) (NRAs). (See Direct Testimony of Shared Service Panel p. 53 for a list of the Companies' current targets and NRAs for each metric). I further note that while the Companies' performance on each metric is measured monthly, the target threshold(s) are applied to the average of each Company's twelve-monthly scores. (*See* Cases 16-G-0058 & 16-G-0059 Joint Proposal (filed September 7, 2016) p. 42 (2016 JP)).

Q. Please further describe these customer service performance measures.

A. The PSC Complaint Rate measures the number of complaints per 100,000 customers "charged" to the Company on a monthly basis, but the metric's target is based on the average of twelve-monthly scores. Under the Companies' current rate plans, a complaint is considered "charged" when a customer, after first contacting the Company to express dissatisfaction with a Company action or practice, contacts the Commission to express their dissatisfaction with the Company's resolution of their complaint. (See 2016 JP at pp. 42-43 (KEDNY) and pp. 91-92 (KEDLI)).

The Residential Customer Transaction Satisfaction Index measures the satisfaction ratings resulting from a random survey of residential customers who have contacted the Company (minimum 100 completed surveys a month). Under the Companies' current rate plans, the satisfaction level is measured based on the number of customers rating the Companies between "6" and "10" on a ten-point satisfaction scale. (See 2016 JP at p. 44 (KEDNY) and p. 93 (KEDLI)).

The Telephone Answer Rate measures the percentage of total calls that are answered within 30 seconds by a Company representative. (See 2016 JP at p. 45 (KEDNY) and p. 94 (KEDLI)).

The Adjusted Customer Bills metric measures the percentage of total customer bills that later require adjustment due to an error by the Company. (2016 JP at KEDNY p. 45-46 and KEDL p. 94-95).

Q. What is the function of customer service performance measures?

A. Customer service performance measures provide utilities with powerful incentives to provide acceptable levels of customer service. Quality service is important to customers and serves the public interest. Due to the monopolistic nature of utility service, customers cannot select another delivery service provider if they are not satisfied with the quality of service they receive from KEDNY or KEDLI. Meaningful measures associated with appropriate financial risk are required to ensure that utility companies provide adequate service to their customers. Structured correctly, customer service performance measures provide utilities with powerful incentives that should result in the high level of service to which customers are entitled.

Q. Since 2015, how have the Companies performed on the metrics for their customer service performance measures?

A. According to page 54 of the Companies' Shared Services Panel's Direct Testimony, both KEDNY and KEDLI have met all of their customer service performance targets over the last few years.

Q. Does either KEDNY or KEDLI propose any changes to its customer service performance measures?

A. No. The Companies do not propose any changes to their customer service performance measures or targets. In fact, on page 55 of the Companies' Shared Services Panel's Direct Testimony, the Panel claims, "the current targets are appropriate and challenging" and "difficult to achieve during periods of peak demand or extreme temperatures." However, from reviewing the Companies' performance on these metrics over the last few years, it seems the Companies are performing well above most of its NRA targets on an annual basis.[1]

Q. Please explain your recommendations regarding the Companies' customer service performance measures?

[1] *See e.g.*, Cases 16-G-0058 and Case 16-G-0059, 2018 Annual Service Quality Program Report (amended May 23, 2019). The Companies do not earn an NRA until the percent of customer adjusted bills exceeds 1.69%. The 12-month average performance in 2018 was 0.56% (KEDNY) and 0.16% (KEDLI). The Companies performed well above the target for the adjusted customer bills metric in 2017 as well, averaging 0.59% (KEDNY) and 0.34% (KEDLI). *See* Cases 16-G-0058 and Case 16-G-0059, 2017 Annual Service Quality Program Report (filed March 30, 2018).

A. I propose to continue the Companies' current service quality performance measures with modifications to the target levels for the following metrics: (1) KEDNY's PSC Complaint Rate; (2) KEDNY's Residential Transaction Satisfaction Index; (3) KEDNY and KEDLI's Adjusted Customer Bills metrics; and, (4) KEDLI's Telephone Answer Rate. Customers deserve to see their utility's performance improve over time, especially where, as here, the utility asks its customers to pay higher rates. Customer service performance targets should therefore be set at levels that challenge utilities to achieve enhanced customer service, rather than staying with the status quo. A target that a Company has no trouble meeting fails to adequately incent the Company to improve its performance.

Q. How did you arrive at your proposed service target levels for the Companies' customer service performance measures?

A. I reviewed both KEDNY and KEDLI's monthly service quality performance data for the last five years that was provided by the Companies in Exhibit _ (SSP-7), Schedule 1 and 2. I calculated the five-year average and then applied two standard deviations. I did not propose any changes to the NRAs that each Company is at risk for if it fails to meet the annual targets for its metrics.

Q. Please detail your recommendation regarding KEDNY's PSC Complaint Rate service target.

A. KEDNY's performance over the past five years has met or exceeded its PSC Complaint Rate service target. Under the current target, the Company does not incur a NRA until it hits a threshold of 1.1 complaints per 100,000 customers. KEDNY's five-year average was 0.5, far exceeding the current service target level of 1.1. Since with the current target level, KEDNY's complaint rate could increase substantially without incurring an NRA, it does not provide an effective incentive for KEDNY to maintain or improve its present level of service quality. Therefore, I propose a more stringent target for KEDNY's PSC Complaint Rate. The standard deviation of the 5-year average is 0.1. Therefore, my proposal sets the NRA threshold at 0.7 complaints per 100,000 customers as shown in Exhibit __ (GCC-2).

Q. Please detail your recommendation regarding KEDNY's Residential Transaction Satisfaction Index service target.

A. KEDNY's performance over the past five years has met or exceeded its performance threshold. Under the current target, the Company does not incur an NRA until its service level falls below 84.8%. KEDNY's five-year average was 89.8%, well above the current service target level of 84.8%.

The standard deviation of the five-year average is 1.7. Therefore, my proposal sets a more stringent target; I recommend that the KEDNY NRA threshold be set at a satisfaction index of 86.4% and below, as shown in Exhibit __ (GCC-2).

Q. Please detail your recommendation regarding KEDLI's Telephone Answer Rate service target.

A. KEDLI's performance over the past five years has met or exceeded its service target. Under the current target, the Company does not incur a NRA until its service level falls below 62.2%. KEDLI's five-year average was 69.8%, well above the current service target level of 62.2%. The standard deviation was 2.7. Therefore, my proposal sets a more stringent target; I recommend that KEDLI incur an NRA when its target level has fallen below 64.4% as shown in Exhibit __ (GCC-2).

Q. Please detail your recommendation regarding KEDNY and KEDLI's Adjusted Customer Bills service target.

A. Both Companies have met or exceeded their service target for these metrics over the last five years. Under the current target, both KEDLI and KEDNY do not incur an NRA until its service target exceeds 1.69%. Unlike their other customer service performance measures, the Adjusted

Customer Bills metric has a minimum, intermediate and maximum rate interval with an increasing penalty, NRA amount, for each interval exceeding 1.70%, 1.80%, and 1.90%.

KEDLI's five-year average was 0.6%, well below the current service target level of 1.69%. The standard deviation was 0.46. KEDNY's five-year average was also 0.6% and, likewise, well below its current service target level. However, KEDNY's standard deviation was much lower, at 0.01. Thus, my proposal would have KEDLI incurring an NRA when it has met a target level that has exceeded 1.50%. I propose that KEDNY incur an NRA once it has exceeded 0.62% with the rate intervals adjusted accordingly as shown in Exhibit __ (GCC-2).

IV. TERMINATION AND UNCOLLECTIBLE INCENTIVE PERFORMANCE MECHANISM

Q. What is "the terminations and uncollectibles incentive performance mechanism?"

A. It is a performance mechanism established in the Companies last rate case proceedings (Cases 16-G-0058 and 16-G-0059) that provides each Company a positive financial incentive if it meets or exceeds certain residential terminations and bad debt expense targets. The metric is

designed to incent the Companies to "identify and implement new measures to reduce residential service terminations for nonpayment while decreasing, or maintaining, the level of bad debt from residential accounts." (2016 JP at p. 47)

KEDNY has the ability to receive a $1.260 million Positive Revenue Adjustment (PRA) if it meets or exceeds both of the following targets:

Terminations <= 34,638

Uncollectibles <= $12,494,661

Alternatively, KEDNY can receive a $0.540 million PRA during each rate year if it achieves one of the above targets, provided the other target is at or below the following levels:

Terminations <= 37,916

Uncollectibles <= $16,119,628

For KEDLI, it can receive a $0.840 million PRA if it meets or exceeds both of the following targets:

Terminations <= 12,470

Uncollectibles <= $4,392,413

Alternatively, KEDLI can receive a $0.360 million PRA during each RY if it achieves one of the above targets, provided the other target is at or below the following levels:

Terminations <= 13,647

Uncollectibles <= $5,602,568

Q. How have the Companies performed since the adoption of the residential service termination and uncollectible incentive performance mechanism?

A. The performance mechanism was enacted in calendar year 2017. In 2017 and 2018, KEDNY earned the maximum annual incentive of $1.26 million for meeting both the terminations and uncollectibles incentive targets. KEDLI earned a PRA of $0.360 million for achieving the terminations incentive target in both 2017 and 2018. (Direct Testimony of Shared Services Panel pp. 37-38).

Q. Did the Companies propose any modifications to the terminations and uncollectibles incentive performance mechanism in its testimony?

A. Yes. KEDNY proposes new service target levels for both terminations and uncollectibles using the same methodology that was approved in the previous rate cases. This methodology applied a single standard deviation to a select five-year average. Specifically, KEDNY omitted the high and low outliers from seven years of data to determine the data to rely on for a five-year average. (Direct Testimony of Shared Services Panel pp. 38-39). For KEDLI, a different approach was used in the previous rate cases since there were limited years of data (two) available since the separation of

Long Island Power Authority's electric business in 2014. In this case, KEDLI proposes to apply a single standard deviation to the average of the four years of data now available, without any omission of high and low-year outliers. (*id*. at 38-40). The targets the Companies propose for the two measures to achieve the maximum PRA are:

KEDNY

Terminations <= 30,778

Uncollectibles <= $11,375,292

KEDLI

Terminations <= 11,339

Uncollectibles <= $4,404,040

Q. What are the new targets you are proposing for the Companies' residential service terminations and uncollectibles incentive performance mechanism?

A. I recommend that if such a mechanism continues, it must include safeguards for ratepayers to ensure the Companies are not rewarded for business as usual. These safeguards include targets aggressive enough to ensure the Companies achieve a true stretch goal.

For both KEDNY and KEDLI, I propose that both the terminations and uncollectibles targets, whereby the Companies would be able to earn its

maximum PRA, should be lowered to more accurately reflect a true stretch goal. The more stringent targets will incentivize the Companies to reduce these measures (instead of merely rewarding the Companies for maintaining the status quo). Consequently, I also propose more stringent targets for the lower PRA levels. (See Exhibit __ (GCC-3)).

In order to achieve the maximum PRA ($1.260 million for KEDNY and $0.840 million for KEDLI), I propose the following targets:

KEDNY

Terminations <= 17,902

Uncollectibles <= $8,496,652

KEDLI

Terminations <= 9,767

Uncollectibles <= $3,080,195

Q. How did you calculate the proposed targets for the terminations and uncollectibles performance measures?

A. Similar to my calculation in setting proposed customer service performance measures targets, I began with a five-year average and applied two standard deviations in calculating the above proposed service targets. This has historically been the method by which I have proposed new service targets for a respective utility's customer service performance

measures and, to my knowledge, is comparable to how the Department of Public Service Staff has set service targets in the past.

Q. Did you use the same calculation for both KEDNY and KEDLI?

A. No.

Q. Please explain.

A. For KEDNY, I used the typical five-year average and two standard deviations when setting its proposed service targets for terminations and uncollectibles. However, for KEDLI, I used only a four-year average, but applied the typical two standard deviations, because as the Company stated only four years of data is available following the separation of the LIPA business. (Direct Testimony of Shared Services Panel p. 38)

V. AFFORDABILITY METRIC

Q. Please provide an overview of the Companies' EAM proposals?

A. The Companies state their "EAM proposals are intended to encourage achievement of priorities like system efficiency, while also identifying unique ways to engage customers." (See Direct Testimony of the Future of Heat Panel at p. 95). The Companies propose three categories of EAMs: (1) System Efficiency; (2) Energy Efficiency; and (3) Carbon

Reduction. As part of the System Efficiency EAM, the Companies proposed the following two metrics: (1) Peak Reduction and (2) Supply Diversification. As part of the Energy Efficiency EAM, the Companies proposed the following two metrics: (1) Incremental Energy Efficiency and (2) Affordability. As part of the Carbon Reduction EAM, the Companies proposed the following two metrics: (1) metric tons of CO2e reduced from all full-service customers and (2) metric tons of CO2e reduced from transportation customers.

Q. Please explain how EAMs are generally structured?

A. Currently in New York EAMs are a performance-based ratemaking mechanism that provides utilities with a financial incentive if they achieve certain goals. EAMs typically have targets for achievement at a minimum, midpoint, and maximum level for each calendar or rate year. EAMs were introduced in the Commission's "Order Adopting a Ratemaking and Utility Revenue Model Policy Framework," issued May 19, 2016. The Order appeared to be focused on electric utilities but did mention the possibility of exploring EAMs for gas efficiency programs.[2] The Commission's Order Adopting Accelerated Energy Efficiency Targets (Energy Efficiency Order)

[2] See Case 14-M-0101, Order Adopting a Ratemaking and Utility Revenue Model Policy Framework p. 82 (issued May 19, 2016) ("The discussion in this order is directly applicable to electric rates and electric efficiency targets. The CEAC should also consider applying this approach to gas efficiency targets, with comparable EAMs to be considered in gas rate cases.").

issued on December 13, 2018 provided further discussion regarding the EAM regulatory construct. The Commission stated, “incentives will be based on performance that demonstrably saves money for ratepayers. EAMs will not be an additional cost … rather, as a rule, they will be used to incentivize cost reductions that allow utilities to achieve or surpass their energy savings targets with spending below authorize program budgets.” (p. 67). When structuring an EAM, there are many factors that may impact the metrics ability to incent a utility to meet the desired goal and provide net benefits to consumers. These factors include but are not limited to: (1) the process used to set the baseline and forecasts; (2) the process used to set the targets; (3) the basis points allocated to the metric; and (4) the evaluation and verification process used to assess and report on the Company’s performance.

Q. Which of the Companies’ proposed EAMs will you be commenting on in this testimony?

A. I am commenting only on the Companies’ proposal for an Affordability metric as part of its Energy Efficiency EAM. However, the absence of discussion of other EAM proposals in this testimony should not be construed as support for, or opposition to, the Companies’ positions.

Q. Please describe the Affordability metric as proposed by the Companies.

A. The Companies state that the Affordability metric is, “an outcome-oriented energy efficiency metric measuring the annual percentage reduction in average low-income customers bills.” The Company states that this metric will incentivize the Companies to (1) “undertake programmatic efforts to reduce low-income customers’ energy usage” and (2) animate the market for third parties to provide low-income benefits within their service territories (See Direct Testimony of the Future of Heat Panel p. 106).

Q. What do the Companies propose as a target for the proposed Affordability metric and by what measure is that target based?

A. The Companies propose that it be rewarded one basis point for each 0.2% reduction in the average monthly bill for low-income heating customers. The Companies propose to “calculate the average monthly customer bill on an annual basis and compare the year-over-year performance to the weather-normalized baseline from the previous year.” (pp. 106-107). Under the Companies’ proposal, they would look at the total bill, including delivery and supply charges; thus, the commodity (wholesale energy) costs are included in the calculation. (Exhibit ___ (GCC-1) (Companies response to UIU-53)). The Companies also propose to compute the average-low income bill before the Energy Affordability Program (EAP)

discount is applied. (Exhibit ___ (GCC-1) (Companies Response to DPS-262)).

Q. Are there initiatives throughout the State and at the utilities that are already in place that provide energy efficiency programs to low-income households?

A. Yes.

The Commission's Energy Efficiency Order directed a framework for coordination between NYSERDA and utilities to implement a statewide ratepayer supported LMI portfolio. (*see* Order at p. 54). The Order indicated that although budgets will be allocated by utility, the collective program offerings, including NYSERDA CEF initiatives will be included in the statewide LMI portfolio. NYSERDA offers a variety of programs to assist customers such as, EmPower, which provides energy efficiency and weatherization services as well as informational resources to low-income households.[3] Additionally, the Weatherization Assistance Program, or WAP, administered by New York State Homes and Community Renewal also provides weatherization and energy efficiency services to low-income

[3] *See* NYSERDA, Empower New York *available at* https://www.nyserda.ny.gov/All-Programs/Programs/EmPower-New-York . I note that KEDLI proposes to continue sponsoring its own EmPower Replacement Program (known as HEAT) and KEDLI customers do not appear to participate in the NYSERDA Empower program. *See* Direct Testimony of the Future of Heat Panel pp. 29-30.

households.[4] These current programs combined with the framework adopted in the Commission's Energy Efficiency Order indicate that there will likely be many streams of energy efficiency investment focused on serving low income customers. Specifically, the Order directed that the aggregate percentage of utility LMI program spending must equal or exceed 20% of the utilities' incremental budgets. (p. 52). In compliance with the Energy Efficiency Order, KEDNY and KELDI, filed on February 19, 2019 updated Energy Efficiency Transition Implementation Plans (ETIPs) for the years 2019-2020. These ETIPs expanded each Company's prior energy efficiency program budgets and included investments focused on serving the low-income population.

Q. Why do you oppose adoption of the Companies' proposed Affordability EAM?

A. I oppose the Companies' proposed Affordability EAM because (1) the Companies could be rewarded for activities outside their control (*e.g.*, a reduction in natural gas prices) and (2) the proposed incentive level may be far greater than the benefit actually provided to customers. The Companies proposed that under the Affordability metric, they would receive 1 basis point for every 0.2% reduction in a low-income customers'

[4] *See* New York State Homes and Community Renewal, Weatherization Assistance Program Overview, *available at*: https://hcr.ny.gov/weatherization-assistance-program-0

total bill calculated annually inclusive of the wholesale natural gas price. Therefore, the Companies could be rewarded for a reduction in the wholesale natural gas price, which they have little or no control over. Wholesale natural gas prices appear to have increased for the past two years but from 2014 to 2016 they decreased,[5] and it is unclear how future wholesale natural gas price reductions could lead to lower customer bills. Through the combination of (1) potential lower wholesale natural gas prices and (2) the aforementioned energy efficiency initiatives already in place, or under development, it appears the Companies could be rewarded for a reduction in a low-income customer's bill without undertaking additional efforts to assist those consumers. Specifically, the Companies could be rewarded for conditions (wholesale natural gas prices) beyond their control or efforts already committed to.[6] I do not see merit in adopting such an EAM.

Q. What is your recommendation?

A. For the reasons stated above, I oppose adopting the Companies' proposed Affordability EAM but if ultimately such an EAM is desired, UIU

[5] *See* e.g., U.S Energy Information Administration Natural Gas Prices available at https://www.eia.gov/dnav/ng/ng_pri_sum_dcu_SNY_a.htm (The New York Citygate price and residential natural gas price (dollars per Thousand Cubic Feet) decreased from 2014-2016; both prices increased year-over-year from 2016-2017 and 2017-2018).
[6] *See e.g.*, supra pp. 24-25 discussing the Energy Efficiency Order.

recommends implementing a scorecard metric for the term of this rate plan. This scorecard metric (with no incentive attached) will provide the Companies and parties acceptable time to effectively evaluate the merits of such an EAM and possibly revisit it in the Companies' future rate case proceedings. Additionally, as part of the scorecard metric, I recommend that each Company submit annual reports which include the following information: (1) explanation of the approaches the Companies' took to reduce low income customer bills and (2) the average annual low-income customer bill compared to the previous year.

If the Affordability EAM, as proposed by the Companies, is adopted for some reason, I recommend that the threshold for receiving an incentive be set much higher than 0.2%. Under the 0.2% reduction threshold, the Companies could receive a sizable incentive for merely reducing customer bills by slightly more than $0.20.[7] To further put this in context, KEDLI reported to have 10,864 average participants in its 2018 heating low income program (See Exhibit ___ (GCC-1) (Companies response to UIU-9)). When I apply the 0.2% reduction to the 2018 average low income bill ($115.21) and account for the number of participating customers, the total bill savings provided is $2,498.72 (each month) and $29,984.64

[7] *See e.g.*, Exhibit ___ (GCC-1) (Company response to DPS-262). (0.2% of the 2018 average low-income bill ($115.21) in the KEDLI service territory is approximately 0.23 cents).

(annually)[8] yet KEDLI would receive an incentive much larger ($213,230 annually).[9] In fact, this incentive is over seven times greater than the savings provided for low income customers. As this example illustrates, the Companies' proposed 0.2% bill reduction target is not a stretch goal providing net benefits to ratepayers and it should be rejected.

Q. Does this conclude your testimony at this time?

A. Yes.

[8] I used the assumptions provided in the Companies response to DPS-262 to calculate the 0.2% reduction as 0.23 cents. I then multiplied the reduction by the number of customers to calculate the monthly and yearly reductions.

[9] *See* Exhibit ___ (GCC-1) (Companies response to UIU-19) (Company stated for KEDLI 100 basis points = $21.323 million; based on my calculation 1 basis point is approximately $213,230).